

CHAPTER SEVEN

CHOOSING THE BEST LENDER

Now that we've covered loan basics, it's time to find a lender. This financial process can be intimidating at best, so we're here to give you as many details in advance as possible. To start, you will shop lenders to get a general idea of how much you can qualify for, and you'll use that number to start looking at homes within your price range. Then, once you're ready to start making offers on houses, you'll pursue loan preapproval. With your preapproval letter in hand, you can start making real offers on homes.

You will narrow this list down to one lender with the best possible rates, and that's the lender you'll contact when you go under contract on a house. From there, you will be spending a lot of time with your lender verifying your financial information to get the loan finalized.

But for now, let's start at the beginning. Here are the five main steps that will take you from "Wait, what exactly is preapproval?" to homeowner in no time.

STEP ONE: KNOW WHAT YOU'RE GETTING INTO

For many people, the two biggest influences on the decision to purchase a first home are their lender and their agent. In a typical transaction (which we've already debunked as fallible), a buyer will assume that their price range is equal to the maximum amount they qualify for with their lender. They will then communicate this price to their agent, who will show them properties that are near the upper limits of that range. The buyer is then caught in the trap of buying a house that is beyond their preferred budget, even if it is technically "affordable."

That's not to say that lenders and agents are evilly scheming to get every penny they can from their clients. If you don't know what you want,